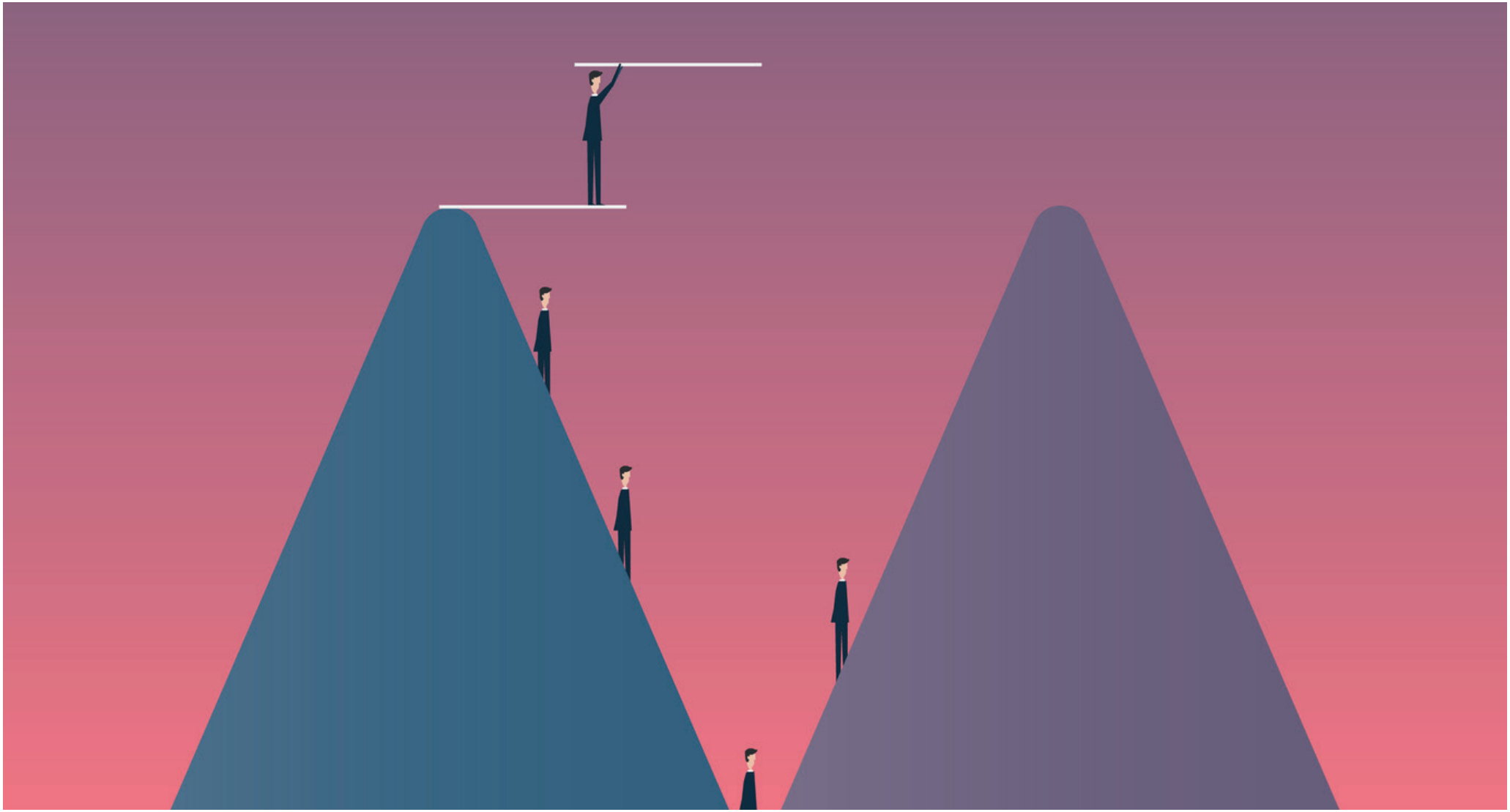


“TRUST BUT VERIFY”: BRIDGING THE TRUST GAP IN ECOMMERCE

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INTRODUCTION

Trust is the oil that keeps the gears of online commerce running smoothly. When consumers have confidence in their online purchases – confidence that they are getting what they have paid for, confidence that their data is being handled securely – they are happy to keep spending.

Compared to the consistent interactions of the offline world, in an online environment customers and sellers may interact only once and never again. Relationship-building is different, meaning every transaction has to be individually assured.

Unfortunately for sellers and marketplaces, first impressions are what matter and you only get to make one. Customers are becoming more proactive in seeking out online deals and if a seller doesn't deliver on trust then it is easier than ever for them to look elsewhere.

On top of this, there is the ever-present hand of government regulation. These arrangements could change very quickly in the present context of trade uncertainty brought on by Brexit and the escalating trade confrontation between the United States and China.

This is the "stick" element of trust – the negatives. But what about the carrot side – the positives? If you get out ahead of the competition and establish visibility over your products, you can communicate this to the customer and make them more willing to buy.

Consider, for example, a recent report by ecommerce consultancy PushOn, which found that over two thirds of customers would be willing to spend more online if the retailer could reassure them they would receive the same quality of service as in a store[1]. The report listed a number of ways that this could be achieved – delivery options, product information and accurate imagery.

Encouragingly, however, the report suggested that it is not entirely an uphill battle. If trust can be established there are signs that customers might favour the online channels, with over 57% thinking shopping online was a great way to properly research the range of options in less time and 67% of those who preferred to shop online believing it was quicker and easier than shopping in-store.

Whatever sector or marketplace they are operating in, the examples of pure play online companies such as ASOS can provide a roadmap for where all sellers could be heading. The retailer offers a robust and simple returns policy, making it more likely that buyers will commit to a purchase in the moment. It is not so much about customers wanting to return products per se but that the commitment to facilitate it via a painless and intuitive process eases their concerns and smooths the path to purchase.

This is only one very particular aspect of trust, but the success of such models shows the kind of relationship that sellers can establish with the right approach and the questions they should be asking.

For ecommerce platforms, how can you ensure you won't be deceived or even defrauded by your sellers? For brands, how do you ensure your brand is not undermined by the behaviour of bad sellers? And for merchants, how do you avoid the danger of bad reviews?

While some aspects of trust will always be beyond your control, it is important to grasp the nettle where you can and not only stay ahead of the competition but reap the further benefits of increased sales. This can enhance the reputations of all involved.

1. www.tamebay.com/2018/03/lack-trust-sees-consumers-unwilling-spend-1000-online-marketplaces-edge.html



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AUTHOR INTRODUCTION

Trust is the key to any transaction, be it in our business or in our private lives. You trust the shop that sells you a cup of coffee that there is nothing wrong with it or that your friend will pay back the tenner you just lent her. This has been true since humans started exchanging goods and services millennia ago. Back then people would deal in person, bartering or paying with transferable assets like salt or gold or, eventually, with more abstract instruments like money or credit. A first transaction initiated through a mutually trusted contact would have been concluded with a few visual checks and a taste or bite of the cargo or a test ride on the horse and sealed with a handshake. Often this could mark the beginning of an ongoing relationship where both parties began to trust each other more and more to the extent that they didn't need to check the cargo each time. This is exactly the space a brand operates in – the ongoing relationship between supplier and buyer is such that the name or logo in itself bypasses the need to establish trust with every purchase of a box of cornflakes.

Over time trade became more varied, sophisticated and less personal with goods often travelling from faraway places with several intermediaries looking for ways to make money. Not surprisingly, buyers along this chain of trade needed to be sure that what they were paying for was what they ordered. And so emerged the business of inspection, verification and certification whereby either buyer or seller or both paid for a service which checked the quality, quantity, origin or other critical characteristic of what was being traded.

And then the internet happened. In the past two decades the established set of relationships between B2B and B2C parties has been disrupted as the traditional protections against new competitors have dissolved away.

Today you don't have to order in high minimum order quantities and to commit to big volumes to get economies of scale or spend a lot on advertising campaigns to reach millions of consumers. A savvy online brand or merchant can access a global network of manufacturers in real time and for free without having to visit several trade fairs or spend days vetting overseas factories to procure good quality, competitive inventory. They then skilfully point their inventory to a multitude of eCommerce, communication and logistics channels to access a global buying audience and start selling immediately.

This change explains why ecommerce now accounts for $2.3 trillion (£1.75 trillion) annually according to Statista[2]. In 20 years ecommerce has gone from 0% to 10% of all retail transactions and looks set to grow fast for the next 10 years.

But trust is still the key. The difference now is that the transactions are being made between millions of sellers and billions of buyers, often for the very first and only time. And, unlike in the past, buyers, brands and sellers are meeting in the virtual setting of a webpage and are never likely to meet physically to build a traditional business relationship. The only sensory experience a buyer has of the product is visual until they receive their delivery sometime after their order so purchase satisfaction is delayed as well.

In this setting trust has to be proven for each buyer for each product for every transaction. Brands, suppliers, platforms and retailers who are addressing this and communicating it to their online buyers are enhancing trust. This is how trade began and how trade will carry on.

2. www.statista.com/statistics/379046/worldwide-retail-e-commerce-sales



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SECTION 1 – PRODUCT

In August 2017, as the US prepared for what the media dubbed the "Great American Eclipse", some of Amazon's customers received an unexpected email from the marketplace. It was offering refunds for many eclipse glasses from multiple manufacturers which had been found to fall short of international standards or, in some cases, were simply missing compliance documentation.

Many of the products had been sold by third party sellers from outside of the US. The decision came after the ecommerce giant asked sellers to provide documentation that their products were compliant with relevant safety standards – those who failed to provide this evidence had their products pulled from sale, with refunds given to customers who had already purchased.

This cautionary tale, drawn from one of the biggest names in online retail, shows how the global nature of online commerce is muddying the chain connecting buyer to manufacturer and how this can impact every player in the chain.

It was the individual sellers that had failed to meet the standards, but it was the Amazon name that made the headlines. The financial impact, of course, fell on those sellers, many of whom may have sought to provide the necessary certification information but been unable to obtain it from the supplier.

This problem affected smaller users of Amazon's platform, but some of the bigger names have also found themselves struggling with a similar dilemma. In 2016, Birkenstock's USA CEO David Kahan announced the brand was quitting the site, citing problems with Amazon's "open market", which allowed other brands to sell cheaper imitations of Birkenstock products and undermine the brand.

A survey of 1500 American consumers by CPC Strategy as part of its 2018 Amazon Shopper Behaviour Study found that nearly 70% of shoppers are either "moderately" or "very" concerned about buying counterfeit products on Amazon[3].

The examples extend to other marketplaces. A wide-ranging investigation in the UK recently found a range of counterfeit cosmetics products being sold online on platforms such as eBay. This was not just a simple case of fraud but a potential public health risk considering that potentially dangerous chemicals were being used in the fake products.

The problem has also affected newer players such as Facebook Marketplace, with an investigation by the Sun discovering counterfeit Christian Louboutin and Gucci products on the platform.

But while this kind of high-profile case is uncommon, the dilemmas involved arise daily. More and more manufacturers operate out of Asia driven by factors such as cheaper labour costs, while sellers are often based near the European and North American customers they are selling to.

This opens a "trust gap" between maker and seller which can cause issues. This is not simply academic, as well – there is evidence that consumers are becoming increasingly aware of safety standards. A survey by the UK government in 2015 and 2016 found that not only was consumer awareness of food hygiene certifications growing but more and more customers were factoring these certifications into their buying decisions[4].

Even where consumers are not proactive about researching safety standards, problems with products can quickly blow up into worldwide press coverage which is impossible for customers to ignore – in some cases, quite literally. The Samsung Galaxy Note 7 became infamous for its "exploding" battery pack, which sprung from components that were sourced from multiple suppliers. Even people who steered clear of the press might have come across the scandal due to the signs that were posted at airports telling customers not to bring the devices on board.

When you work in the food or health product arenas, the stakes can be higher still. The prominence of the UK's horsemeat scandal in 2013 showed ordinary consumers that even the supply chains of major supermarkets are not always entirely reliable.

There is a growing business of subscription-based nutrient products, particularly protein supplements for body-building. Objects such as medicines and contact lenses are also increasingly being sold through subscription models.

There are many types of product and all have their own assurance requirements. As the Samsung case shows, a smartphone needs to be electrically safe. Food may need to be of a certain quality, or for example may need to be certified not to contain certain chemicals.

Many certification processes can be automated but the actual accreditation process for products requires a physical presence at factories and importation points. This verification capability needs to extend across borders and jurisdictions.

TECHNIQUES FOR CERTIFICATION

A smartphone, for example, requires many individual tests to meet international safety standards. These include peak output power and density, as well as tests of emissions levels.

For most products, the first port of call is the factory. Assessing whether a factory is fit for purpose can involve examining whether it has the necessary technical capabilities and capacity to produce the products.

It requires reviews of material data sheets and specifications to determine what is being used in production. During production, in-line checks against the defined production schedule or methods must be carried out.

It also extends to supervision of container loading to ensure that containers are loaded with the required goods and quantities in the correct way.

It should also cover post-sale – samples should be collected from stores to ensure that products there meet the regulatory requirements.

THE CARROT AND THE STICK

Having as much visibility over your products as possible is only set to become more crucial.

For starters, consider the uncertainty and mutability of the global trade environment. President Trump's imposition of new tariffs on China and the Chinese response has led many to call the escalating confrontation a trade war. At the same time, the US's businessman president has spoken of his desire to strike new trade deals with other nations.

One such nation is the UK, which is dealing with profound uncertainties about what its trading relationship will look like with other major world economies. The vote to leave the European Union in 2016 and the government's activation of the Article 50 exit mechanism in March 2017 has put the UK on a course to leave. But for a country that has for decades been subject to the product standard regulations of the European Union, what standards might be put in place afterwards is yet unclear.

And as for the EU, it recently signed what was called the largest trade deal ever with Japan, which covers a third of the world's GDP.

Sellers and marketplaces can't influence this geopolitical environment or even peer behind the curtain to see what is coming. But they can make sure that their own houses are in order. To navigate this murky environment and avoid punitive regulatory sanctions, ensuring that you know everything about your products and hence where they can be sold is crucial. Costly product recalls, market withdrawals or safety alerts could face those who don't. For example, China is set to introduce a new piece of ecommerce legislation at the beginning of the new year which will make ecommerce platforms such as Alibaba and Pinduoduo responsible for preventing fraud on their sites.

As discussed earlier, the impact on reputation of the trust gap are also crucial. It's impossible to quantify how exactly a customer's perception of a brand may impact other areas of the business. But what is for sure is that sellers and marketplaces need customers to trust them if they are going to gain more business through the online channel, and increasingly get them to share data.

The need to avoid the twin "sticks" of regulation and reputation damage is only one part of the equation. Stakeholders should view the chance to offer a guarantee to their customers that their competitors may not be doing as an opportunity. Further down the chain, companies that are audited and certified through approved schemes can increase their chances of being the chosen supplier.

With so many similar products available online, it can be hard to differentiate. It is particularly difficult to do so through the pricing race to the bottom. But a seller can use trust to alleviate a customer's natural caution in purchasing online and in doing so stand out from the competition.

It is easy to view a product sale as something that is completed in a moment, but each transaction can also be a stepping stone to future ones. Displaying the information to show that you have done your job properly and taken the responsibility of selling seriously increases trust and loyalty for the long term.

This is particularly key when you are making the transition from a part-time seller to a full-blown business. As a responsible brand looking towards the future, voluntarily demonstrating that you do things properly can really improve what you are offering to your customer and increase your long-term revenues.

3. www.cpcstrategy.com/2018-amazon-shopper-behavior-study/
4. www.food.gov.uk/research/research-projects/food-hygiene-rating-scheme-consumer-attitudes-tracker-wave-4

SECTION 2 – PROCESS

Providing assurance at a product level might seem like enough of a challenge, but the ever-growing scrutiny doesn't end there. According to a 2016 survey by Morgan Stanley Research of 1000 UK consumers, while price and quality still rank highest, ethical concerns about products are moving more and more to the forefront of consumer mindsets[5].

Often the process by which a product was made or procured can be an important element of value. Issues such as worker's rights and safety, wages, health and safety, and environmental and social stewardship are having more and more of an impact on buying decisions. 51% of respondents said that ethical credentials were somewhat or very important when choosing an apparel retailer, whereas only 13% said they were somewhat unimportant or not at all important.

The importance of these issues is only likely to grow considering that a much higher proportion of younger consumers in the survey were found to view ethics as very or somewhat important. 57.5% of 16 to 24-year-olds and 53% of 25 to 34-year-olds viewed the issue as very or somewhat important. This was compared to 45.7% and 48.6% of 45 to 54-year-olds and over-55s respectively.

The complexity of products means that supply chains are also highly complex and difficult to establish visibility over. For example, smartphones have many components that are sourced from a wide range of jurisdictions and suppliers. Materials that are used in the process such as tin, tungsten, tantalum and gold often flow down chains of uncertain provenance.

Again, beyond the customer-level pressures, regulation rears its head. There are legal requirements with punitive consequences for error. There are restrictions on the trade in endangered species, banned substances, labelling of ingredients and materials and safety regulations. Products that are tainted by poor practices can pose a risk to all in the value chain.

Consider, for example, the requirement in the UK that all must certify their adherence to the Modern Slavery Act 2015, with the declaration displayed prominently on consumer-facing websites. The Transparency in Supply Chain Provisions require businesses to publish an annual statement if they have an annual turnover above £36 million. The statement must confirm the steps that a business has taken to ensure that neither slavery nor human trafficking are taking place in the supply chain. There are no legally binding requirements to conduct due diligence and they can also publish a statement declaring that no steps have been taken, but the thinking is that few companies would be willing to take such a reputational risk.

In March 2017, the EU passed a law aiming to make EU companies take responsibility for the origin of the minerals they import. The sectors in the cross-hairs were jewellery as well as high-tech devices created by the automotive, electronics, aerospace, packaging, construction, lighting, industrial machinery and tooling industries.

The checks are binding for smelters, refiners and importers of materials, with only the smallest importers such as dentists and jewellers explicitly being exempted from the obligation. The rules, set to be binding from 2021, will be enforced by member states.

There are also the non-obligatory commitments. On 25 June, several online marketplaces voluntarily committed to improving the safety of non-food consumer products sold on their online marketplaces by third-party sellers with the signature of a Product Safety Pledge. The initiative sets out specific voluntary actions that go beyond what is already established in EU legislation. The ultimate goal is to improve the detection of unsafe products marketed in the EU before they are sold to consumers or as soon thereafter as possible, and to improve consumer protection.

ACHIEVING ASSURANCE

The first step is knowing what the codes of conduct are that need to be followed from a legal perspective. This means knowing the specific guidance issued by all relevant bodies: these include specific sectoral bodies as well as global authorities such as the United Nations.

The second step is to gain some understanding of your organisation's own social responsibility goals. These need to be built into a clear code of conduct, understood by management and communicated to all supply chain stakeholders. It requires

having some feedback and measurement mechanisms to ensure that these goals are being met.

A programme of this sort would normally encompass a number of steps.

FULL TRANSPARENCY OF THE SPECIFIC MANUFACTURING LOCATIONS

↓

A RISK ASSESSMENT BASED ON SELF-ASSESSMENTS AND REVIEW OF ANY EXISTING AUDITS TO STANDARDS THAT COVER ILO AND RELATED CONVENTIONS INCLUDING INDUSTRY SPECIFIC INITIATIVES AND OTHER 3RD PARTY STANDARDS

↓

AUDITS TO RECOGNISED STANDARDS, FOR EXAMPLE SMETA, SA8000 OR OTHER

↓

FOLLOW-UP OF ANY NON-CONFORMITIES IDENTIFIED TO ENSURE THAT THESE ARE COVERED

Again, ascertaining the ethical standards of a supply chain can't be done online. Boots on the ground are needed across the production chain, whether to certify that labour standards are being met or that stated policies are being adhered to.

For example, an environmental compliance audit needs to take stock of both airborne and solid pollutants. This requires an in-depth review of the site where production is taking place, including surveying the exhaust vents and the waste channels. Beyond the site itself it requires knowing about the surrounding environment and where these flow to.

It also requires supervision of ongoing processes to ensure that they are not generating problems that may not be visible from a simple survey of the site. This could cover, for example, how waste is collected or how much dust is diffused into ambient air during loading processes.

5. www.morganstanley.com/ideas/ethical-retailing-consumers-survey

SECTION 3 – PRESENTATION

Once the work of achieving the required level of assurance has been achieved, the final task is to make this information clear to customers to realise the benefits. The opportunity here for the seller or marketplace is to become the trusted middleman – the message to send is something along the lines of "we have checked out these products so that you don't have to."

For a customer that is particularly wary about counterfeit goods or concerned with the ethics of a product's provenance, having compliance information presented alongside more banal information such as price could be a key differentiator. Not only could it steer them towards the sale of a particular product, but it could put a particular seller or marketplace front-of-mind for future purchases.

Determining how to communicate the assurance information about the products requires knowledge of your customer as well as your own site. Do your customers make their decisions primarily based on the information in the short production description amongst the search results, and if so, could this be a natural home for assurance details?

On the other hand, if you are concerned that this information will clutter the description too much, consider how you can present the information on the product page itself in a way that stands out. This could mean a dedicated box detailing the various certifications that the product has achieved.

Deciding what information is most important to get across is key. Again, this is about your knowledge of your customer as well as your product. Different certifications may be more or less relevant to particular product categories and particular audiences.

But communication is about aesthetics as much as anything. Providing strong assurance information will not work in isolation if this is undermined by shoddy presentation. As William Forshaw, the CEO of luxury leather brand Maxwell Scott, says, the first impression for a user of the site is critical.

"The initial opinions consumers make whilst entering your site are equivalent to them walking through a shop door. These first impressions are usually what carves out trust and sways them to purchase as they progress through their online journey."

Forshaw says that every single part of the website needs to communicate quality, including imagery and site speed.

"With so much competition in the industry, one distorted image or a long loading time experience can easily throw a consumer off and before you know it, they're back on their Google page hitting the brand listed below you on their search. Work together with your team to implement UX on every level to ensure fluidity. Consumers' expectations are high online – they're usually browsing on a piece of electrical kit that cost them a lot of money, so they naturally want their experiences to be just as high-tech."

Ian Blackburn, MD at Hidepark, another clothing retailer, says that design decisions on the site can increase trust for the user and therefore improve conversion rates.

"We had good reviews on various platforms but this wasn't something we were advertising enough, now this is prominent on pages with a reviews module showcasing genuine customer feedback. Highlighting our expertise was also an aspect we've focused on. We have in-depth style, sizing and buying guides on product pages to help customers make informed and transparent decisions, therefore increasing trust between the brand the user.

"On top of this, we ensured we had payment seals visible and highlighting our same day dispatch throughout the site. This was something previously hidden until the user got to the checkout, however, we now make this information clear early on. All of these aspects help users to move along the journey quicker and with a trusting relationship between them and the brand."

All these different aspects – structural and aesthetic – combine to give the customer confidence in what they are buying. But knowing your supply chain and your manufacturers also improves the services that you can offer.

For example, if you know exactly what you are getting you can offer consumers additional guarantees. Consider, for example, the value of eBay's money-back guarantee. As the site itself emphasises, most purchases go through with no problems, but for those that do have problems the customer has some assurance. With a robust assurance programme in place, any marketplace or seller can offer the same guarantee with the certainty that a customer's product will be up to quality standards.

This also extends to de-risking returns policies. Forshaw of Maxwell Scott also highlights the importance of returns policies, including keeping the message simple and minimising restrictions. "Don't like it? That's no problem – just send it back to us. There should be no hurdles during this process," says Forshaw.

Visibility into your products and supply chain will give you a new form of messaging to approach your customers with – but make sure you have a plan in place.

CONCLUSION

It has been said already but it bears repeating: without trust, there can be no online selling. As the CPC Strategy survey and the infamous eclipse goggles incident shows, even the biggest names in the industry such as Amazon have problems with trust. There is evidence that this is increasingly impacting buying decisions alongside issues such as price.

At the same time, consumers continue to want access to the best and cheapest products from around the world and a large number of products sold online today flow over from the likes of China where labour and material costs will be lower.

But buyers don't want to do the vetting themselves. They want clear and accessible information and they want to know that they are getting what they pay for. If the seller can't deliver this, there will always be other choices for the consumer – this is the internet after all.

The challenge and the opportunity, then, for sellers and marketplaces sitting in the middle of customers and manufactures is to become a trusted middleman, handling the trickiest aspects of assurance and keeping the customer informed about what they find out.

Many online sellers started on eBay and have since moved from opportunistic one-off selling to become established businesses in their own rights. As they move up that hierarchy they need to begin protecting their brand, as the stakes get higher.

To do this, they need visibility over their supply chain: not just the products, but the processes in place as well. They need a robust knowledge of the different regulations that they need to comply with. And at the end of all of that they need to be able to communicate this to the customer at the point of purchase in a way that is both intuitive and impactful.

For those who can achieve this, there will be the chance to keep ahead of regulatory regimes and navigate the intricacies of international trade in an uncertain environment. But it is also an opportunity to establish a new kind of online relationship with customers and a new hunting ground for differentiation from their myriads of rivals.

Those who can deliver on or exceed customer expectations for trust will be able to have both.

SIX BEST PRACTICES TO START BUILDING TRUST TODAY

1. KNOWLEDGEABLE SUPPORT

Surround yourself with well-informed people so that you can focus on where you truly add value: selling.

2. UNDERSTAND YOUR REGULATORY OBLIGATION/COMPLIANCE

Make sure you know what the rules are and what compliance actually means, especially on safety standards. Each country has its own particular compliance burdens.

Some helpful resources to get started:
www.gov.uk/guidance/product-safety-for-manufacturers
www.ec.europa.eu/growth/single-market/ce-marking/manufacturers_en

3. HORIZON SCANNING

Ensure you understand what legislation is coming up in which every country or market, as well as the trade environment.

Some helpful resources to get started:
www.legislation.gov.uk/
www.europa.eu/european-union/law/find-legislation_en

4. UNDERSTAND THE RISK TO YOUR BUSINESS

Your brand has value and comes with expectations of quality for both products and service. Consider the costs in terms of reputation that could arise from not delivering on these.

Some helpful resources to get started:
www.allbusiness.com/business-at-risk-understanding-risk-management-17712-1.html
www.dnb.com/perspectives/entrepreneurial-strategies/understanding-the-types-of-risks-that-could-affect-your-business.html

5. DON'T CUT CORNERS TO CUT LEAD TIMES

In the fast-moving world of online retail there is pressure to get products out there as quickly as possible. But the cost of a recall or withdrawing a product could easily outweigh the benefits of this, so take the time to bring products to market that are safe and compliant.

Some helpful resources to get started:
www.ec.europa.eu/info/business-economy-euro/product-safety-and-requirements/consumer-product-safety/product-safety-rules_en
www.en.wikipedia.org/wiki/General_Product_Safety_Regulations_2005

6. IDENTIFY RISKS IN YOUR SUPPLIER BASE.

You don't have to wait for them to come to you; work with your supplier to improve or reduce those risks to help them produce more compliant products.

Some helpful resources to get started:
www.cips.org/en/supply-management/opinion/2013/april/five-tips-to-manage-supplier-risk/
www.sourcinginnovation.com/wordpress/2007/02/14/five-types-of-supply-risk-and-how-to-mitigate-them/

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